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Question ID: 1575055

An analyst is evaluating the degree of competition in an industry and compiles the following information:

- Few significant barriers to entry or exit exist.
- Firms in the industry produce slightly differentiated products.
- Each firm faces a demand curve that is largely unaffected by the actions of other individual firms in the industry.

The analyst should characterize the competitive structure of this industry as:

☐ **A)** oligopoly.

☐ **B)** monopoly.

☐ **C)** monopolistic competition.

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The *least appropriate* measures of economic activity to use to identify peaks and troughs of a country's business cycle are:

☐ **A)** interest rates and stock market values.

☐ **B)** unemployment and GDP growth.

☐ **C)** industrial production and inflation.

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A diffusion index is *least likely* to:

- ☐ **A)** reflect the consensus movement in economic indicators.
- ☐ **B)** indicate how widely a particular token has been disseminated.
- ☐ **C)** measure the breadth of change in a composite index.

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Question ID: 1575058

For an economy that is initially at full-employment real GDP, an increase in aggregate demand will *most likely* have what effects on the price level and real GDP in the short run?

- ☐ **A)** Both will increase in the short run.
- ☐ **B)** Neither will increase in the short run.
- ☐ **C)** Only one will increase in the short run.

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Question ID: 1575059

A central bank is *least likely* to:

- ☐ **A)** act as the lender of last resort.
- ☐ **B)** serve as the monopoly supplier of the currency.
- ☐ **C)** set interest rates for business loans.

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Question ID: 1575060

A country that is a regional or global leader that uses its political or economic influence over others to control resources would *most likely* be described as:

☐ **A)** autarkic.

☐ **B)** hegemonic.

☐ **C)** multilateral.

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Question ID: 1575061

Regarding geopolitical risks from the perspective of an investor, which of the following types of risks is *most likely* to be sudden and unanticipated?

☐ **A)** Exogenous risk.

☐ **B)** Thematic risk.

☐ **C)** Event risk.

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Question ID: 1575062

Compared to a customs union or a common market, the primary advantage of an economic union is that:

- ☐ **A)** its members adopt a common currency.
- ☐ **B)** its members have a common economic policy.
- ☐ **C)** it removes barriers to imports and exports among its members.

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Question ID: 1575063

International trade is *least likely* to result in:

☐ **A)** better allocation of resources.

☐ **B)** greater competition.

☐ **C)** lower income inequality.

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Question ID: 1575064

The Eurasian Economic Union (EAEU) is a pact between Russia, Belarus, Kazakhstan, Armenia, and Kyrgyzstan that allows free movement of goods and services among members and maintains a common trade policy against nonmembers. These countries are *most likely* a part of:

☐ **A)** a free trade area.

☐ **B)** an economic union.

☐ **C)** a customs union.

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Question ID: 1575065

A currency broker based in Chicago provides a spot exchange rate quote of 140 JPY/USD to a hedge fund in Tokyo.

From the perspective of the Japanese hedge fund, the *most accurate* statement is that the:

- ☐ **A)** direct exchange rate quotation is equal to 140.
- ☐ **B)** indirect exchange rate quotation is equal to 140.
- ☐ **C)** direct exchange rate quotation is equal to 0.00714.

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A U.S. company recently finalized a sale of goods to a German client and expects to receive a payment of EUR50 million in one year. At the time of the sale, the EUR/USD spot rate was 0.9378, and the 12-month forward rate was 0.93526 EUR/USD. According to the exchange rate information, the 12-month forward points are *closest* to:

☐ A) -25.4.

☐ B) -14.8.

☐ C) +0.00148.